NVIDIA Corporation

NVDA NASDAQ

Buy	$221.85 ▼ 2.92%	12M Price Target $265.00	52-Week Range $164.27 – $243.37	Market Cap $5.36T

NVDA: Profit-Taking Hits as Options Flow Turns Cautious

WHAT HAPPENED

- NVDA dropped 2.92% on light volume (54M vs typical 80M+) — this is NOT panic selling, it's profit-taking after the stock sat near 52-week highs. The tell is in options flow: traders loaded up on near-dated $222.50 puts at 14x normal open interest, meaning somebody with real money is hedging into October expiration or earnings.
- Insider selling cluster from General Counsel Teter in late September ($6.8M total) and a director's 500K share "OTHER" transfer adds to the cautious tone — not alarming at NVDA's scale, but it rhymes with the options hedging.

WHY IT MATTERS

Here's what I think is really going on: the market is digesting a monster run (stock is at 73% of its 52-week range) and positioning defensively ahead of November earnings. The unusual put buying at $222.50 and $225 strikes tells me institutions aren't selling their core position — they're paying for insurance, which is actually a sign they want to stay long but protect gains. The sector rotation into Healthcare, Staples, and Energy (defensive + inflation plays) suggests money is temporarily leaving high-beta tech, not abandoning it. If earnings deliver and Jensen reiterates the $500B+ data center TAM, this pullback gets bought aggressively — but if hyperscaler capex guidance softens, $205 is in play fast.

POLICY & POLITICAL WATCH

The big one to watch: the Trump administration's framework allowing NVDA to sell the H20 chip to China (with a 15% revenue cut to the US government) remains the single largest policy variable — any Congressional pushback or a Beijing retaliation could reprice the stock overnight. Separately, the CHIPS Act 2.0 discussions and the proposed GAIN AI Act (which would prioritize US buyers before chip exports) are both in play — if GAIN passes, it caps NVDA's international revenue growth. Also watch the Stargate / sovereign AI deals (Saudi, UAE, UK) — these are getting rubber-stamped under the current admin and are a direct multi-year tailwind.

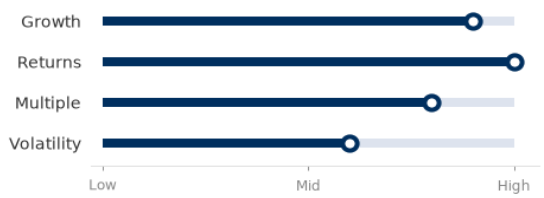
IS IT EXPENSIVE?

At ~38x forward earnings, you're paying $38 for every $1 of next year's profit — that sounds expensive, but NVDA is still growing revenue 50%+ with 75% gross margins, so the PEG ratio (price vs. growth) is actually reasonable around 0.8. Compared to peers like AMD (~35x with slower growth) and the broader semi index (~25x), NVDA deserves the premium as long as data center demand holds. The valuation only breaks if hyperscaler capex rolls over — and right now Microsoft, Meta, Google, and Amazon are all guiding capex UP for 2027.

Key Data

Price (USD)	**$221.85**
12M Price Target	**$265.00**
Upside / (Downside)	**+19.5%**
Market Cap	**$5.36T**
FY2027E Revenue	**$235M**
FY2028E Revenue	**$295M**
FY2027E EPS	**$5.85**
FY2028E EPS	**$7.40**
Fwd P/E	**37.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | October 14, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$240.00**	$225.00	**$205.00**
6 Months	**$275.00**	$245.00	**$190.00**
1 Year	**$310.00**	$265.00	**$175.00**
2 Years	**$380.00**	$310.00	**$160.00**
5 Years	**$550.00**	$400.00	**$140.00**
10 Years	**$850.00**	$575.00	**$120.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.12%) and Staples (+1.47%) — classic defensive rotation, suggests macro nervousness or someone's positioning for a growth scare. Energy (+6.63% / 5D) is running on Middle East tension and OPEC discipline.

COOLING OFF: Real Estate, Materials, Utilities — rate-sensitive names getting hit, which hints the market is pricing in fewer Fed cuts than hoped.

ROTATION WATCH: Money is moving defensive short-term, but this is textbook pre-earnings de-risking in mega-cap tech, not a regime change. Watch if semis break down together — that would signal something bigger.

RELATED PLAY: If you believe the AI capex story, the "picks and shovels" trade is power and cooling — think Vertiv (VRT), Eaton (ETN), and Constellation Energy (CEG). Data centers need 10x the power they did 5 years ago.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Riding custom ASIC demand from Google and Meta — the anti-NVDA trade for customers wanting to escape Jensen's pricing.
- TSM (Taiwan Semi): Benefits no matter who wins AI chips because they make all of them. Up on strong October revenue.

NVDA CONTEXT: NVDA is lagging the semi group slightly this week — not alarming, but worth noting that AVGO is taking "AI winner" narrative share. If NVDA can't reclaim $230 after earnings, the market is telling you the custom silicon threat is becoming real.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm bullish but not pounding the table at these levels; I'd be louder near $210.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Scale in $210-218 on any macro-driven dip; add aggressively below $200 if we get there without a fundamental story breaking.

TIME HORIZON: 12-24 months — the catalysts are Q3 earnings (November), CES keynote (January), and GTC (March). You get three shots at upside revaluation.

WHEN TO BAIL: If China export deal gets reversed by Congress, OR if any top-4 hyperscaler cuts 2027 capex guidance, OR if gross margins drop below 70% — any of those three and I'm trimming hard.
HEDGING: Buy $210 puts expiring after earnings for cheap insurance — costs maybe 2% of your position, caps your downside. Or just hold some cash and buy the dip instead of hedging — simpler.

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